most of the goods and services and keep tariff on some items at a minimal level. Some goods which are identified as "sensitive goods" are continued to be traded at existing tariff level.

In recent times, the free trade agreement is called with different names. They are: comprehensive economic cooperation agreement, comprehensive partnership agreement and economic cooperation framework agreement. But all of them are in the nature of Free Trade Agreement. It is evident from the following comment made by *Korea Joongang Daily* on India Korea Comprehensive Economic Partnership Agreement: "The agreement, which got its unusual name at the request of the Indian side, is equivalent to a free trade agreement"[6]. But it cannot be refuted that there are some variations in all these agreements. These agreements cover foreign investment front apart from trade and services.

In this arrangement also, the parties to the agreement follow their own independent trade relation with third parties.

Customs Union (CU)

It is a still higher level of integration. In this, the member countries abolish barrier to trade and service among them, and as a whole, they maintain a common tariff against third parties.

Common Market (CM)

In addition to provisions of customs union, a free flow of labour and capital is also allowed in common market.

Figure 11.2